research study a little bit later in the chapter, but the bottom line is that my early verdict wasn't very kind to VAs. They didn't make much sense to me.

In general, an annuity is best viewed as a process as opposed to just a product. Think of it as having a life cycle of its own that starts at birth, grows over time, and finally matures. The early part of the process consists of a pay-in stage and is illustrated in Figure 9.1. Here the policyholder or investor contributes money (either in one lump sum or over time) with the funds allocated among a number of subaccounts that move up and down in value over time. The goal of this process, like any other investment, is to grow the account by receiving dividends, capital gains, and interest.

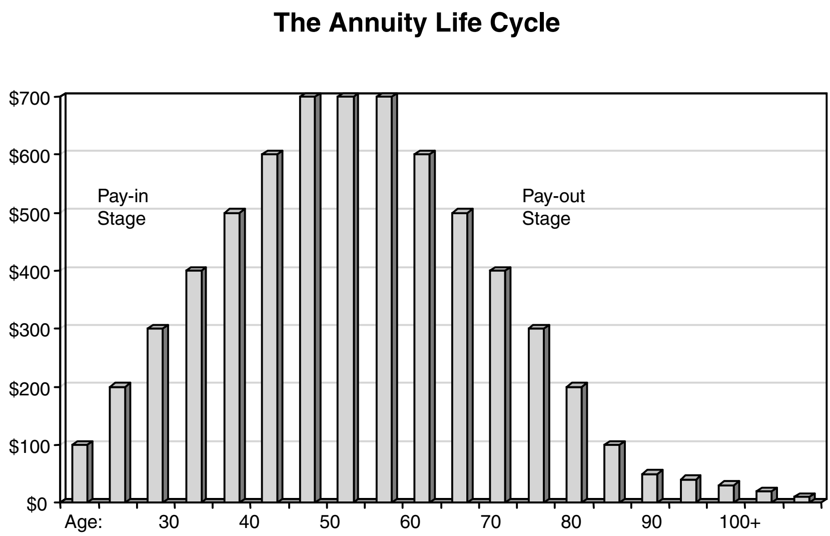

Figure 9.1 The personal pension plan.

Source: Moshe Milevsky and the IFID Centre, 2008.

This growth phase will come to an end in one of three different ways, summarized in Figure 9.2. The policyholder may do one of the following:

- Decide to surrender (also known as lapse) the policy by withdrawing the entire sum of money